

PURPOSE

The purpose of this document is to define the policies related to the global execution of Hilton Architecture and Construction managed capital projects.

POLICY SUMMARY

The scope of this policy includes the execution of Hilton Architecture & Construction ("A&C") managed Capital Projects for Hotels and Hilton Grand Vacations ("HGV") and provides policy standards related to the definition of capital expenditures, assignment of roles and responsibilities, bidding, procurement, contracting requirements and general project management activities.

BACKGROUND / SCOPE

The scope of this policy includes the following activities specific to Hilton Architecture and Construction managed capital projects:

- Definition of Capital Expenditure Projects
- Initiation of Capital Projects
- Capital Project Management Roles and Responsibilities
- Bidding, Procurement and Contracting Requirements
- Contract Change Management Requirements
- Key Project Management Activities

APPLICABILITY

Global Hilton Architecture and Construction managed Hotel and Hilton Grand Vacations ("HGV") capital projects.

EXCLUSIONS / EXCEPTIONS

This policy is only applicable to Hilton Architecture and Construction and Hilton Grand Vacation Club managed capital projects.

POLICY DETAILS

A. Definition of Capital Expenditures	Capital Expenditure Projects are defined based on Fixed Asset Accounting Policy FP-FIN-001 and in accordance with US GAAP. Capital Expenditure Projects include elements of asset improvements / additions and furniture, fixtures, and equipment (FF&E) that are capitalized and subject to depreciation. Capital Expenditure Projects for Owned, Leased and select Joint Venture Assets are identified by Hilton Asset Management in collaboration with Property Operations, Brand, FP&A and A&C. Hilton Grand Vacation Club Capital Expenditure Projects are identified by HGV management in collaboration with Property Operations, FP&A, and A&C.
B. Initiation of Budgeted Capital Projects	Hotel and Hilton Grand Vacation Club Capital Expenditure Projects (not including corporate level capital expenditures) are initiated and approved in accordance with Hilton finance policy FP-OPSFIN-154 utilizing the Authorization for Expenditure (AFE) process.
C. Capital Expenditure Project Roles and Responsibilities	A&C managed hotel capital projects are performed in collaboration with a broad group of stakeholders including Asset Management, Property Operations, Global Design Services, Operations Engineering, Risk Management, Brand, Hilton Supply Management and third-party consultants and contractors. In addition, HGV capital projects require involvement and input from HGV Development, Accounting, Sales, and Feasibility. Roles and responsibilities for each phase of

the project are as follows:

Scope/Budget Development

Project definition and development involves the accumulation of data to include project requirements, as-built conditions, local building code requirements, accessibility issues, market conditions, customer expectations, Brand Standards and additional information necessary to define detailed scope, schedule and budget for the project. Scope and Budget development is led by A&C Project Management with final approval by Asset Management. A&C Project Management, Asset Management and Global Design Services participate in a Project Planning Meeting to establish project parameters and agree on the selection of third-party consultants for hotel capital projects. A&C, HGV Development, HGV Accounting and HGV Sales and Marketing meet to establish parameters for HGV capital projects. Project consultants are identified based on previous experience and qualifications, are recommended by Global Design Services and are selected through a competitive Request for Proposal (RFP) process managed by A&C Project Management as outlined in Section D – Competitive Bidding, Procurement, and Contracting of this policy. Deviation from the standard RFP process must be documented and approved by the Senior Vice President of Architecture & Construction and maintained by the A&C Project Directors or Project Managers with the project bidding and procurement documents.

Design and Documentation

The objective of the design phase is to develop a complete and accurate set of plans and specifications that meet the project's functional and aesthetic requirements within the established parameters of scope, quality and budget. Global Design Services is responsible for ensuring the delivery of plans and specifications that are consistent with Hilton brand and aesthetic requirements. Global Design Services shall prescribe the submittal of certain documents for review and approval as outlined in the Global Design Services Capital Project Design Approval Process guide (see Appendix A).

Hilton Supply Management is responsible for working directly with Global Design Services and third-party consultants to ensure that FF&E, operating supplies and equipment ("OS&E"), and HSM procured service(s) costs are within budgeted guidelines and optimum cost savings and value is achieved.

Prior to competitive bidding and construction, A&C Project Management coordinates multiple reviews of project documents with design consultants and Hilton subject matter experts (Life Safety, Engineering, Operations, etc.) to ensure compliance with project scope, budget and design intent.

Permitting

A&C Project Management is responsible for ensuring that all appropriate permits have been filed for in a timely manner and received prior to the commencement of construction.

Construction

Prior to award of contracts for construction, an Authorization for Expenditure (AFE) must be fully approved in accordance with FP-OPSFIN-154. In the event that the bids for a capital hotel project exceed the project approved budget amount, it is the responsibility of the Senior Vice President of Asset Management to obtain approval for additional project funding in accordance with FP-OPSFIN-154. In the event bids for a HGV capital project exceed approved budget, it is the responsibility of the President HGV and the Global Head of A&C to obtain approval under the above referenced policy.

A&C Project Management is responsible for all phases of project construction including consultant and contractor selection, contract administration, processing of invoices for payment by hotel finance or HGV Accounting, accurate reporting and forecasting of project status and project close out. A&C Project Management may employ the services of qualified third-party project management firms to act as Project Managers in the execution of the work. Third-party firms will be contracted

based on a competitive Request for Proposal (RFP) process. Deviation from the standard RFP process must be documented and approved by the Senior Vice President Architecture & Construction and maintained by the A&C Project Directors or Project Managers with the project bidding and procurement documents.

D. Competitive Bidding, Procurement, and Contracting

It is the responsibility of A&C to manage all procurement, bidding and contracting activities in accordance with the principles established in policy HWI-HSM-002. In A&C's role as subject matter experts in the procurement and contracting of construction related goods and services, the following stipulations to Policy HWI-HSM-002 will apply.

Section A – Notification to Supply Management Regarding Major Purchases

A&C will provide HSM with a comprehensive list of all approved capital projects being managed to include proposed project budgets and schedules (applies to all projects managed by A&C – fully owned and/or joint venture). A&C will engage HSM to provide procurement services for FF&E and OS&E on all projects, unless prior approval to utilize alternative resources has been provided in writing from the SVP HSM. HSM involvement in HGV Joint Venture Projects will be subject to the terms of the HGV Joint Venture Agreement.

Sections C, E.1 and E.3 – Competitive Bidding/Bidding Process

A&C will utilize Request for Proposal forms developed in collaboration with Hilton Legal specifically for the procurement of goods and services related to hotel design and construction.

Section D – Sole Source Purchases or Exclusive Vendors:

In limited cases where negotiation with a single service provider is justified, the A&C Project Director will document the justification / benefits of such sole source selection in the Contract Approval Memo which will require approval by the Vice President of Capital Projects and the Senior Vice President of A&C and maintained by the A&C Project Directors or Project Managers with the project bidding and procurement documents. Approval may also be required by the Global Head of A&C based on contract value and in accordance with Policy FP-OPSFIN-154.

Section O – Use of Standard Contract Forms and Policies

A&C will utilize contracts and forms annually reviewed and updated by Hilton Legal and Risk Management and specifically adapted for the procurement of design and construction related goods and services.

Section Q – Performance Bonds

A&C will obtain performance bonds for contracts on a selective basis as determined by project risk and contractor experience. The decision to waive the bonding requirement will be documented and approved by the Vice President of Capital Projects or the Senior Vice President of A&C based on contract value. Waiver of performance bonds on contracts in excess of \$3M will require approval of the Vice President Risk Management and the Global Head of A&C.

Section R – Insurance

A&C, in collaboration with Risk Management, will solicit and retain insurance certificates from service providers on capital projects. Insurance certificates will be reviewed, logged and retained by the Manager of Hotel Capital Projects reporting to the Vice President of Capital Projects in A&C. Insurance certificates for contracts in excess of \$1M will be forwarded to Risk Management for review.

E. Contract Authorization and Execution

Contracts for goods and services related to Capital Projects will be submitted for approval to the appropriate level of A&C executive in accordance with Policy FP-OPSFIN-154. A Contract Approval Memo will be prepared by the A&C Project Director and submitted with the contract which will document the project scope, competitive bid process employed, the bid tabulation, the budget status and the rationale for the recommended award of contract.

F. Contract Change Orders and Change Management	Change orders represent unanticipated increases or decreases in the cost or completion time of a capital project. Change orders are reviewed and approved or rejected by the A&C Project Director. Change orders that are recommended for approval will be submitted under cover memo to the appropriate level of A&C executives. All change orders will be tracked and logged in the Change Order Log by the A&C Project Director or designated Project Manager.
G. General Project Management Activities	A&C Project Directors and/or Project Managers shall work with the General Contractor to maintain and utilize various project logs and tools for the effective management of capital projects. These logs and tools will include, but not be limited to, Change Order Logs, Request for Information Logs, Cost Forecast Reports to include Contingency Allocation and Progress Reports on the status of the work. Regular project status meetings will be conducted by project management with the General Contractor and Hotel Operations to monitor the progress of the work.
H. Project Schedule Management	A&C Project Directors and/or Project Managers shall work with Global Design Services, Hotel Operations, HSM and the General Contractor to develop and maintain a detailed project schedule. The project schedule will address key project milestone dates to include target permit approval, FF&E delivery, project start and completion and other dates deemed critical to on time delivery of the project. In addition to these key milestone dates, project schedules for HGV projects may also include target dates for commencement of sales, date that revenue can be recognized (in accordance with FP-FIN-011 – Timeshare Revenue Accounting Policy), legal registration dates and other critical business milestones. The project schedule shall minimize business interruption to the extent possible, while maintaining an efficient and cost effective pace of the work.
I. Project Risk Management	A&C Project Directors and/or Managers shall work with the General Contractor, Consultants, HSM and Hotel Operations to identify and document key risks to project cost, schedule and quality. Initial risks prior to project start will be documented in the Contract Cover Memo. Project risks will be reviewed in the project status meeting on site and in the bi-weekly project review meetings conducted at Hilton Worldwide Headquarters in McLean.
J. Project Safety and Security Management	A&C Project Directors and/or Managers shall ensure that the General Contractor has prepared and follows appropriate safety plans. General Contractors will be required to share safety and security plans with A&C Project Management and Hilton Safety and Security upon request.
K. Project Accounting	A&C Project Directors and/or Managers shall ensure that the work is performed in strict accordance with the project plans, specifications, and milestone schedule. A&C Project Directors and/or Managers are responsible for working closely with the Hotel Finance Teams and/or General Managers on hotel capital projects to review and approve requests for payment to contractors, consultants and suppliers. On HGV Capital Projects, the Project Director will work closely with HGV accounting to ensure that all compensation, payment and accounting issues are properly addressed. In accordance with standard industry practice and in order to ensure the timely and proper completion of the work, retainage will be held against the total contract value. Retainage will typically range from 5 to 10% of contract value but may vary depending on the type of work being performed, size and complexity of the project and other factors. Retainage is defined in the executed contract by A&C based on the perceived risk associated with each contractor. Retainage will generally be held for a minimum of 30 days after completion of the work, delivery of all warranties, commissioning of systems, receipt of required lien waivers and verification of all required documents. The partial release of retainage after specific levels of the work have been successfully completed and waivers and releases have been received shall be approved in writing by the VP of Capital Projects and maintained with the project finance and accounting records at each hotel or HGV property and the A&C project files.
L. Project Reporting	All Hotel Capital Projects shall be documented and tracked in the Capex Bi-Weekly Report. This report will identify key project attributes, funding approvals, design approvals, schedule status,

forecasted costs and commentary on project challenges and risks. In addition, on larger and more complex projects, a monthly project status report including progress photographs, detailed project expenditures and additional project narrative will be required.

HGV Capex Projects will be documented by A&C Project Managers and reviewed with the HGV Executive Committee on a bi-weekly basis for purposes of understanding project scope, budget and schedule status and on a monthly basis for purposes of cash flow forecasting.

M. Project Closeout

Substantial / Final Completion

A&C Project Directors and/or Project Managers shall ensure that upon substantial completion the General Contractor will prepare a punch list with input from Hotel Operations, HGV Operations, Consultants and Subcontractors. The punch list must clearly identify activities as required to achieve full completion.

A&C Project Directors and/or Managers shall further ensure that an efficient punch process is employed to satisfactorily complete all work within the project scope and achieve final completion and that all required project documentation is obtained. Documents required for final completion include: (1) Final project invoices for labor and materials, (2) release of all claims and liens, (3) as-built drawings, (4) warranties and (5) inspection certificates.

N. Project Follow-Up Audits

Internal Audit or A&C may elect to initiate an audit in order to further evaluate a variance between project budget and final project cost as well as assess compliance with the foregoing policies and procedures.

DEFINITIONS

Term / Acronym	Definition
Budgeted Expenditures	Anticipated expenditures that are included in the approved annual capital cash budget or added as a result of contract change orders.
Capital Expenditures	Expenditures meeting the capitalization criteria defined in FP-FIN-001 Fixed Asset Accounting policy.
Contract Approval Memo	Memo prepared by the Hilton A&C Project Director / Project Manager to request contract approval from the appropriate contract approvers per policy FP-OPSFIN-154. The memo includes procurement background, bid tabulations, and additional information for consideration prior to contract approval and execution.
Final Completion	Completion of the capital project and the closeout of all required tasks. Final completion is met when the final certificate of occupancy and all required permits have been obtained.
General Contractor	Contracted by Hilton and responsible for the material, labor, equipment (such as engineering vehicles and tools) and services necessary for the construction of the project. The general contractor may hire specialized subcontractors to perform all or portions of the construction work.
Performance Bonds	Surety bond issued by an insurance company or a bank to guarantee satisfactory completion of a project by a contractor.
Retainage	Portion of the agreed upon contract price deliberately withheld until the work is substantially complete to assure the contractor or subcontractor will satisfy its obligations and complete a construction project.
Substantial Completion	Date at which the work or building project, or a designated portion of the work or building project thereof is sufficiently complete, in accordance with the

	construction contract documents, so that the owner may use or occupy the work or building project or designated portion thereof for the intended use for which it is originally designed and intended for.
Third-Party Project Management Consultant	Employed by Hilton to support day-to-day project management activities performed by Hilton A&C.

ROLES AND RESPONSIBILITIES

Entity / Personnel	Responsibilities
Hilton Architecture & Construction	Compliance with this Policy

RELATED DOCUMENTS, TOOLS AND TEMPLATES

Policies & Procedures	Location
FP-OPSFIN-154 Operations Authority and Authorizations Policy	Link to FP-OPSFIN-154 (UPDATE ONCE APPROVED)
HWI-HSM-002 Purchasing Policy – Goods and Services	Link to HWI-HSM-002
HW-CO-31 Authority to Execute Leases and Service, Technology, & Other Contracts	Link to HW-CO-31
FP-FIN-001 Fixed Asset Accounting Policy	Link to FP-FIN-001
FP-FIN-020 Revenue Recognition Accounting Policy	Link to FP-FIN-020
HWI-FIN-106 Corporate Spending And Contract Execution Transactions Policy	Link to HWI-FIN-106
Tools / Templates	Location
Global Design Services – Capital Project Required Submittals	See Appendix A
Contract Approval Memo	See Appendix B